

Payroll Process

End-to-End Testing Manual — from setup to payroll generation and approval

Item	Detail
Document version	1.0 — 10/09/2026
Applies to	HRIS web application (React front end + vueportal API): Time & Leave, Payroll, Approvals
Intended readers	HR / Payroll officers, payroll approvers, QA testers, system administrator
Test environment	Local / staging copy of the HRIS with BioBridge biometric logs. Never run these tests on live payroll data.

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1. Purpose and How to Use This Manual

This manual walks a tester through the whole payroll process the way HR and Payroll actually do it: first the one-time setup (pay rules, cut-offs, holidays, shifts, contribution tables, deduction and allowance types, approval procedures), then each employee's pay records, then the attendance and leave that happen during a cut-off, the Daily Time Record (DTR) review, payroll generation, the two-person approval, and the checks after the payroll is locked.

How to use it:

- Do the phases in order — each one prepares the data the next one needs.
- For each step, do the action on the screen named in "Menu / Screen", using the example test data or your own, and compare with "Expected result".
- Tick Pass or Fail. For a Fail, write it in the Defect Log (Appendix D) with the screen, the data used, what happened and a screenshot.
- Phases 1–2 are setup. Phases 3–7 can be repeated for every cut-off you test.

Note: The example data uses employee 23363 De Guzman, Xavier (ADMINISTRATION) and the 2026 cut-offs, as in the sample data already loaded on the test system. Replace them with your own test employees as needed.

1.1 Process at a glance

Phase	Name	What it covers
1	System setup	Payroll Settings (rates, statutory schedule, cut-off pattern, pay days, holiday rule), premium rates, payroll cut-offs, holiday calendar, contribution tables, deduction / allowance / leave types, shifts, approval procedures (Access Charts).
2	Employee pay records	Employee master data, Work Schedule, Salary History, contribution profile, allowances, scheduled deductions / loans.
3	Attendance & leave in the cut-off	Biometric punches, manual time entries, overtime, leave, shifting, retro adjustments — filed and approved.
4	Timekeeping (DTR) review	The day-by-day record per employee: late, undertime, absences, holidays, rest days, overtime, items that need a look.
5	Payroll generation	Generate the Draft payroll, review the pay register and payslips, correct and regenerate.
6	Payroll approval	Submit for approval; two approvers approve (or one returns it); the last approval locks it.
7	After approval	Loan payments posted, retros applied, filing switched off, audit trail.

2. Before You Start

2.1 Test accounts and access

Account	Role(s) / permissions needed	Used for
Administrator	Administrator (can do everything)	Setup screens; can stand in for any approver.
HR / Payroll officer	compensation-*, contribution-*, allowance-*, deduction-*, retro-*, payroll-setting-*, payroll-cutoff-*, holiday-calendar-*, shift-*, shift-assignment-*, leave-*, time-entry-*, overtime-*, dtr-list, payroll-run-list, payroll-run-generate, payroll-run-cancel	Phases 1–5: setup, records, timekeeping, generating and submitting the payroll.
Payroll Approver 1	"Payroll Approver" role (payroll-run-list, payroll-run-approve); mapped on the "Payroll Run" Access Chart — test system: Lady Rose Lutrania	Phase 6 — first approval.
Payroll Approver 2	Same — test system: Marilou Baltazar	Phase 6 — second approval / disapproval.
Leave / time-entry / OT approver	Leave Approver, Time Entry Approver, Overtime Approver (mapped on their Access Charts)	Phase 3 approvals.
Test employee (optional)	A user linked to the test employee	Filing leave / time entries as the employee.

2.2 Checklist

- The test system has the payroll database changes applied (Payroll Settings cut-off rules, payroll runs and their approval) and PermissionSeeder / PayrollRunApprovalProcedureSeeder have been run.
- BioBridge (the biometric database) is reachable — the Attendance tab of an employee shows punches.
- You know which cut-off you will test and it is not yet approved (Payroll → Payroll Runs).
- Screenshots: keep one per Fail and one of each final payslip you check.

2.3 Terms used

Term	Meaning
Cut-off	A pay period (e.g. 2026-10-A = 10/01–10/15/2026) with a pay date. Filing switch ON = leave / time entries / overtime can be filed for its dates.
DTR	Daily Time Record — per employee per date: the schedule used, punches, status (Present, Absent, Holiday, Rest Day, On Leave, Incomplete, Upcoming...) and minutes.
Day type	Ordinary Day, Rest Day, Special Holiday, Regular Holiday, Double Holiday and their "on Rest Day" versions — decides the premium %.

Term	Meaning
Premium rates	Payroll Settings → Premium Rates: % of the ordinary rate for regular hours, overtime hours, night differential and "paid if unworked", per day type (DOLE).
Draft / Pending / Approved	Payroll run status: Draft (can be regenerated) → Pending (waiting for approvers) → Approved (locked). Disapproved returns it to Draft.

3. Phase 1 — System Setup

Done once (and when a rule changes). Do it as the HR / Payroll officer or Administrator.

3.1 Payroll Settings

No.	Step / Action	Menu / Screen	Test data (example)	Expected result	P / F
1A.1	Open Payroll Settings, tab General.	Payroll → Setup → Payroll Settings	—	The page shows the cards Rates, Statutory deductions — when taken, Cut-offs & Pay Days, Holiday Pay, with the saved values.	☐ Pass ☐ Fail
1A.2	Set the daily-rate factor and hours per day.	Payroll Settings → General → Rates	Working days a year: 313 (6-day week); Hours per day: 8	The hint shows "Daily rate = monthly rate × 12 ÷ 313". Saved with "Payroll settings have been saved."	☐ Pass ☐ Fail
1A.3	Set the night-differential window.	Payroll Settings → General → Rates	22:00 to 06:00	Saved; used for night minutes in the DTR.	☐ Pass ☐ Fail
1A.4	Set when statutory deductions are taken.	Payroll Settings → Statutory deductions	SSS / PhilHealth / Pag-IBIG: Once a month — 2nd cut-off; Withholding Tax: Every cut-off	Saved; payslips of the 1st cut-off show no SSS / PhilHealth / Pag-IBIG; the 2nd shows the full month.	☐ Pass ☐ Fail
1A.5	Set the cut-off pattern and pay days.	Payroll Settings → Cut-offs & Pay Days	1st cut-off starts day 1, 2nd day 16; paid on the 15th and the Last day of the month; pay day on a Sunday / holiday: move to the previous working day	The summary reads "Semi-monthly: 1–15 and 16–end, paid on the 15th and the last day of the month...". Choosing the same start day twice is refused.	☐ Pass ☐ Fail
1A.6	Decide the holiday-pay rule.	Payroll Settings → Holiday Pay	Switch OFF (default) — unworked regular holiday always paid	Saved. (ON = paid only when present / on paid leave the work day before — tested in Appendix A.)	☐ Pass ☐ Fail

No.	Step / Action	Menu / Screen	Test data (example)	Expected result	P / F
1A.7	Review the premium rates.	Payroll Settings → Premium Rates	DOLE values: Ordinary 100/125; Rest Day 130/169; Special 130/169; Regular Holiday 200/260 (unworked 100); Double 300/390 (unworked 200); ND 10%	Each day type shows Regular Hours, Overtime Hour, Night Diff., Paid if Unworked. Save Rates works.	☐ Pass ☐ Fail

3.2 Payroll cut-offs and holidays

No.	Step / Action	Menu / Screen	Test data (example)	Expected result	P / F
1B.1	Enter the year's holidays first (they move pay days).	Time & Leave → Setup → Holiday Calendar	Ninoy Aquino Day 08/21/2026 Special; National Heroes Day 08/31/2026 Regular; Bonifacio Day 11/30/2026 Regular — all branches	Holidays listed with type and branches.	☐ Pass ☐ Fail
1B.2	Generate the year's cut-offs.	Time & Leave → Setup → Payroll Cut-offs → Generate Year	Year 2026, Semi-monthly	24 cut-offs: 2026-01-A (01/01–01/15) ... 2026-12-B. Message "24 cut-off(s) created".	☐ Pass ☐ Fail
1B.3	Check pay dates.	Payroll Cut-offs list	2026-08-B, 2026-11-B, 2026-02-A	08/31 (holiday, Monday) → paid 08/29 Sat; 11/30 (holiday) → 11/28; 02/15 (Sunday) → 02/14.	☐ Pass ☐ Fail
1B.4	Re-apply pay dates after changing the rule.	Generate Year with "Update the pay dates of existing cut-offs"	Year 2026	Message "... pay date(s) updated"; only cut-offs with filing ON change.	☐ Pass ☐ Fail
1B.5	Filing switch (optional).	Payroll Cut-offs → Turn off	Any past cut-off, with a reason	Filing History shows Open → Closed with the reason; leave / time entries for its dates are refused while OFF.	☐ Pass ☐ Fail

3.3 Government tables, types and shifts

No.	Step / Action	Menu / Screen	Test data (example)	Expected result	P / F
1C.1	Verify the contribution tables in force.	Payroll → Setup → Contribution Tables	SSS 01/01/2025, PhilHealth 01/01/2024, Pag-IBIG 02/01/2024, BIR 01/01/2023	One "In Force" version per agency; expand to see the brackets. Compare with the current circulars.	☐ Pass ☐ Fail
1C.2	Import a renewed table (when a circular changes).	Contribution Tables → Import Version	Agency SSS, Download Template, change shares, effective date of the circular, Preview	Preview says "Adds a new SSS version ..." and lists new / changed / removed brackets ("was ..."). Import saves it; the list shows it as Upcoming / In Force.	☐ Pass ☐ Fail
1C.3	Check deduction types.	Payroll → Setup → Deduction Types	SSS Salary Loan, Pag-IBIG MPL, Company Loan, Cash Advance ...	Types exist and are active.	☐ Pass ☐ Fail
1C.4	Check allowance types.	Payroll → Setup → Allowance Types	Rice Subsidy (de minimis 2,000 / month), Transportation (taxable)	Taxable / de minimis flags and limits are right.	☐ Pass ☐ Fail
1C.5	Check leave types.	Time & Leave → Setup → Leave Types	SIL, VL, SL, LWOP (unpaid) ...	Paid / unpaid and credits are right.	☐ Pass ☐ Fail
1C.6	Create / check shifts.	Time & Leave → Setup → Shifts	REG-0800-1700 (Mon–Fri 08:00–17:00, 60 min break); NIGHT-2200-0600 (grace 10 min)	Each shift shows its 7 days, break and grace.	☐ Pass ☐ Fail

3.4 Approval procedures (Access Charts)

No.	Step / Action	Menu / Screen	Test data (example)	Expected result	P / F
1D.1	Leave, Manual Time Entry and Overtime charts.	Approvals → Access Charts	Levels and approvers per chart	Each chart has its levels, required approvals and approvers; without levels, anyone with the approve permission decides in one step.	☐ Pass ☐ Fail
1D.2	Payroll Run chart: level and required approvals.	Access Charts → "Payroll Run" → Edit	Level 1, 2 approvals required	Saved without error ("Record has been updated").	☐ Pass ☐ Fail
1D.3	Payroll Run chart: approvers.	Approving Officers → "Payroll Run"	Lady Rose Lutrania, Marilou Baltazar at level 1	Both listed at level 1; "2 approval(s) needed · 2 officer(s)".	☐ Pass ☐ Fail
1D.4	Approver roles.	Authorizations → User Accounts	Give both the "Payroll Approver" role (keep their other roles)	They see Payroll → Payroll Runs after logging in.	☐ Pass ☐ Fail

4. Phase 2 — Employee Pay Records

Per test employee. Bulk changes go through Generate Template → fill → Import (Employee Master Data and Salary History both have it).

No.	Step / Action	Menu / Screen	Test data (example)	Expected result	P / F
2.1	Check the employee record.	Human Resource → Employee	Employee code = the biometric user ID; Active; branch; position; date employed	Profile opens; the Attendance tab shows biometric punches.	☐ Pass ☐ Fail
2.2	Give the employee a Work Schedule.	Employee → Work Schedule tab (or Import → Work Schedule)	Effective 10/01/2026, shift REG-0800-1700	The version shows the shift and its days; Timekeeping uses it from that date.	☐ Pass ☐ Fail
2.3	Enter the salary.	Payroll → Records → Salary History → Add Salary Change	Monthly 28,000.00 effective 09/16/2026, Salary Adjustment	The employee list shows the current salary; history shows the version and the change from the previous one.	☐ Pass ☐ Fail
2.4	Bulk salary import (optional).	Salary History → Generate Template (filter Branch / Position / Employees) → Import	One line with effective_date (YYYY-MM-DD, Text cell)	Template lists only the filtered employees with today's salary. Import: "Imported: 1 added...". A bad line shows the Error List with the Excel Row number.	☐ Pass ☐ Fail
2.5	Contribution profile.	Payroll → Records → Contributions → Edit profile	All agencies Computed; Pag-IBIG voluntary 100	View (eye) shows the monthly EE / ER / tax; changing date or compensation recomputes the totals.	☐ Pass ☐ Fail
2.6	Allowances.	Payroll → Records → Allowances → Add	Rice Subsidy 2,000 per month (from 01/01/2026); Transportation 750 per cut-off	Listed as current; the payroll pays Rice 1,000 per cut-off (non-taxable) and Transportation 750 (taxable).	☐ Pass ☐ Fail

No.	Step / Action	Menu / Screen	Test data (example)	Expected result	P / F
2.7	Scheduled deductions / loans.	Payroll → Records → Deductions → Add	SSS Salary Loan 20,000, 833.33 on the 2nd cut-off, starting 2026-09-B	Listed Active with balance; due only on 2nd cut-offs from 09-B; a cut-off already paid is not deducted again.	☐ Pass ☐ Fail

5. Phase 3 — Attendance and Leave in the Cut-off

What happens during the cut-off. Each filing is approved by its approver (or by anyone with the approve permission when its chart has no levels).

No.	Step / Action	Menu / Screen	Test data (example)	Expected result	P / F
3.1	Biometric punches.	Employee → Attendance tab	Punch in / out on the device (or use existing logs)	Punches appear for the dates; the DTR uses the first IN and last OUT inside the shift window (a night shift's OUT next morning stays with its day).	☐ Pass ☐ Fail
3.2	Manual time entry for a missed / field punch.	Time & Leave → Attendance → Manual Time Entries → File	10/05/2026 Field Work 08:00–17:00	After approval the DTR shows 08:00–17:00 "time entry" for that date instead of the punches.	☐ Pass ☐ Fail
3.3	Overtime on an ordinary day.	Time & Leave → Attendance → Overtime → File, then approve	10/05/2026 17:00–20:00	Approved; DTR shows 3 h overtime; payroll pays 3 h × hourly × 125%.	☐ Pass ☐ Fail
3.4	Overtime on a holiday.	Overtime → File, then approve	A holiday date, e.g. 08/31/2026 17:00–19:00 (worked holiday)	Payroll pays it at the holiday's own overtime rate (Regular Holiday 260%, Special 169%).	☐ Pass ☐ Fail
3.5	Rest-day work.	Overtime → File for the rest day, then approve	Sunday 10/04/2026 08:00–17:00	Without an approved OT the DTR shows "Rest Day Worked — paid through approved overtime" and pays nothing; with it, the first 8 h at 130% and the rest at 169%.	☐ Pass ☐ Fail
3.6	Leave on a work day.	Time & Leave → Leave → Leave Applications → File, approve	VL 10/19–10/20/2026	DTR shows On Leave; paid leave is not deducted (monthly) / paid at the daily rate (daily-paid); LWOP is deducted.	☐ Pass ☐ Fail

No.	Step / Action	Menu / Screen	Test data (example)	Expected result	P / F
3.7	Leave that covers a holiday.	Leave → File across a holiday	SL 08/21/2026 (Special Holiday)	The holiday is not counted against the leave; DTR shows Holiday; no deduction.	☐ Pass ☐ Fail
3.8	Temporary shifting.	Time & Leave → Schedule → Shifting → Assign	NIGHT-2200-0600 for 3 days	DTR uses the shifting for those dates (Schedule column "Shifting - NIGHT-2200-0600"); night minutes counted 22:00–06:00. Shifting History shows each change; values in force tagged Current.	☐ Pass ☐ Fail
3.9	Retro adjustment (back pay).	Payroll → Records → Retro Adjustments → from suggestion	Salary change effective 09/16 entered after the 09-B payroll	Open retro for the next cut-off (e.g. 2026-10-A); the payslip shows "Retro — Retro Salary".	☐ Pass ☐ Fail

6. Phase 4 — Timekeeping (DTR) Review

Before generating the payroll, review the DTR of the cut-off.

No.	Step / Action	Menu / Screen	Test data (example)	Expected result	P / F
4.1	Open Timekeeping for the cut-off.	Payroll → Processing → Timekeeping	Cut-off 2026-08-B, branch ADMINISTRATION, search 23363	One line per active employee: Present, Absent, Leave, Late, Undertime, Overtime, Holidays, Needs a Look.	☐ Pass ☐ Fail
4.2	Open the DTR.	Timekeeping → View DTR (eye)	23363	Banner with the summary; one line per date; the table fits the screen.	☐ Pass ☐ Fail
4.3	Holidays are never absences.	DTR	08/21 (Special), 08/31 (Regular), not worked	Status Holiday, Absent "—".	☐ Pass ☐ Fail
4.4	Late / undertime.	DTR	08/20 in 08:32 (schedule 08:00, no grace)	Late 32 m; worked 7 h 28 m. With a 10-min grace, 08:09 is not late; 08:11 is 11 m late.	☐ Pass ☐ Fail
4.5	Absence.	DTR	Work day with no punch and no leave	Status Absent, Absent 1.	☐ Pass ☐ Fail
4.6	Incomplete punch.	DTR	Only an IN	Status Incomplete, remark "Missing time out — file a manual time entry" (not deducted).	☐ Pass ☐ Fail

No.	Step / Action	Menu / Screen	Test data (example)	Expected result	P / F
4.7	Upcoming days.	DTR of the current cut-off	Today and later	Status Upcoming — not yet, assumed worked (not deducted).	☐ Pass ☐ Fail
4.8	Needs a Look.	Timekeeping list	—	Employees with missing punches, no schedule or unpaid rest-day work are flagged; fix them (time entry / OT / schedule) before the payroll.	☐ Pass ☐ Fail

7. Phase 5 — Payroll Generation

No.	Step / Action	Menu / Screen	Test data (example)	Expected result	P / F
5.1	Generate the Draft.	Payroll → Processing → Payroll Runs → Generate Payroll	Cut-off 2026-08-B, remarks	Message "Payroll 2026-08-B generated: N employee(s), net pay ..."; the payroll page opens (Draft). A warning shows if the cut-off has not ended yet.	☐ Pass ☐ Fail
5.2	Review the summary.	Payroll page	—	Cut-off, status, pay date, employees, gross, deductions, net, employer share; note of active employees without a salary.	☐ Pass ☐ Fail
5.3	Review the pay register.	Payroll page → Pay Register	Search 23363	Rate, absent, late / UT, OT, gross, deductions, net; Check column counts warnings.	☐ Pass ☐ Fail
5.4	Open a payslip.	Pay Register → View payslip	23363	Earnings by category, Deductions (Government, Loans & Deductions), Employer Share, Net Pay, warnings, DTR. Compare with Appendix B.	☐ Pass ☐ Fail
5.5	Check holiday handling on the payslip.	Payslip	Cut-off with an unworked holiday	Monthly-paid: no absence line for the holiday. Daily-paid: "Holiday Pay (not worked)" at 100% for a regular holiday, nothing for a special one.	☐ Pass ☐ Fail
5.6	Correct and regenerate.	Fix the data (e.g. approve a time entry), then Regenerate	—	Same Draft is replaced with the new figures (one payroll per cut-off).	☐ Pass ☐ Fail
5.7	Cancel a Draft (optional).	Payroll page → Cancel Payroll	A reason	Reason is required; status Cancelled; the cut-off can be generated again.	☐ Pass ☐ Fail

8. Phase 6 — Payroll Approval

Approval procedure: Access Chart "Payroll Run", level 1, 2 approvals required. The person who submitted cannot approve; an Administrator's approval completes a level.

No.	Step / Action	Menu / Screen	Test data (example)	Expected result	P / F
6.1	Submit for approval.	Payroll page → Submit for Approval (HR / Payroll officer)	2026-08-B Draft	Status Pending; Approval Route "Level 1 Pending 0 of 2 approvals — Waiting for: Lady Rose Lutrania, Marilou Baltazar"; Regenerate is no longer offered.	☐ Pass ☐ Fail
6.2	Regenerate while pending is refused.	Generate Payroll for the same cut-off	—	Message "... waiting for approval — an approver must return it (disapprove)...".	☐ Pass ☐ Fail
6.3	Approver 1 approves.	Log in as Lady Rose → Payroll Runs → View → Approve	Remarks "Attendance checked"	Confirmation says "it still needs 1 more"; Route 1 of 2, Waiting for: Marilou Baltazar; History shows the approval with the remark.	☐ Pass ☐ Fail
6.4	Approver 1 cannot approve twice.	Same user → Approve	—	Refused: "You have already acted on this filing".	☐ Pass ☐ Fail
6.5	Approver 2 returns it (disapprove path).	Log in as Marilou → Disapprove	First with no remarks, then "Recheck the allowances"	No remarks: "Give the reason for disapproving". With remarks: status Draft, red "Returned by Marilou Baltazar ..." with the reason.	☐ Pass ☐ Fail
6.6	Correct, regenerate, resubmit.	HR / Payroll officer	—	Back to Pending 0 of 2; the History keeps the earlier round in time order.	☐ Pass ☐ Fail

No.	Step / Action	Menu / Screen	Test data (example)	Expected result	P / F
6.7	Both approve — the payroll locks.	Lady Rose → Approve; Marilou → Approve	—	The second confirmation reads "This is the last approval..."; status Approved; no action buttons; Route 2 of 2.	☐ Pass ☐ Fail

9. Phase 7 — After Approval

No.	Step / Action	Menu / Screen	Test data (example)	Expected result	P / F
7.1	Loan / deduction payments posted.	Payroll → Records → Deductions → View the loan	SSS Salary Loan on a 2nd cut-off	A payment of the amortization, source Payroll, dated the pay date, for the cut-off; balance reduced.	☐ Pass ☐ Fail
7.2	Retro applied.	Payroll → Records → Retro Adjustments	The retro of the cut-off	Status Applied.	☐ Pass ☐ Fail
7.3	Filing switched off.	Time & Leave → Setup → Payroll Cut-offs	The approved cut-off	Filing OFF; Filing History "Payroll ... approved".	☐ Pass ☐ Fail
7.4	Filing blocked for its dates.	File a leave or time entry inside the cut-off	Any date of it	Refused: "Filing is turned off for payroll cut-off ...".	☐ Pass ☐ Fail
7.5	Approved payroll is locked.	Generate Payroll / Cancel for that cut-off	—	Refused: "already approved — corrections go through a retro adjustment on a later cut-off".	☐ Pass ☐ Fail
7.6	Audit trail.	Set Up & Authorizations → Audit Trail	Module Payroll	Entries for the run (created, status changes) and for the records changed.	☐ Pass ☐ Fail
7.7	Payslips still viewable.	Payroll Runs → View → payslip	—	Same figures as approved.	☐ Pass ☐ Fail

Appendix A — Holiday and Overtime Pay Test Matrix

Expected results for the holiday and overtime rules (premium rates as in 3.1). Hourly = daily ÷ 8; monthly-paid daily = monthly × 12 ÷ 313. Amounts below are from the test system for employee 23363 (monthly 26,000 → hourly 124.60) and a daily-paid test rate of 600 (hourly 75).

Case	Pay basis	Rule	Expected (test system)
Holiday, not worked	Monthly	Never an absence — covered by the salary	No deduction line for the date
Holiday, on leave	Any	Leave not counted on a holiday	DTR "Holiday", remark "On leave on a holiday — not counted against the leave"; no deduction
Regular holiday, worked 8 h	Monthly	Adds (200% – 100%) for hours worked	Holiday Premium 996.81
Regular holiday, worked 8 h	Daily (600)	8 h × 75 × 200%	Holiday Pay (worked) 1,200.00
Regular holiday, not worked	Daily (600)	Paid if unworked 100%	Holiday Pay (not worked) 600.00
Special holiday, not worked	Daily (600)	No work, no pay (0%) — nothing deducted	No line for the date
Regular holiday, prior-day rule ON, absent the work day before	Daily (600)	Not paid	No holiday pay; DTR remark "Not paid: absent on the work day before the holiday"
OT 2 h on a regular holiday (scheduled day)	Monthly	2 h × hourly × 260%	Overtime 647.92
OT 2 h on a regular holiday	Daily (600)	2 h × 75 × 260%	Overtime 390.00
OT 3 h on an ordinary day	Monthly (28,000)	3 h × 134.19 × 125%	Overtime 503.19
Rest-day work 10 h with approved OT	Any	First 8 h × 130%, rest × 169%	Two overtime details: "(day off, first 8 h)" and the excess
Night work 22:00–06:00	Any	Night minutes × hourly × the hour's rate × 10%	Night Differential line

Appendix B — Worked Example: 2026-08-B Payslip

Employee 23363 De Guzman, Xavier — Monthly 26,000.00; daily 996.81; hourly 124.60. Cut-off 08/16–08/31/2026 (2nd cut-off of August): 5 days present, 7 absent, 2 holidays (08/21 Special, 08/31 Regular — not worked, not deducted), late 321 minutes.

Line	Computation	Amount (₱)
Basic Pay	$26,000.00 \div 2$ cut-offs	13,000.00
Absences	7 days $\times$ 996.81	–6,977.64
Late	321 min $\div$ 60 $\times$ 124.60	–666.61
Rice Subsidy (non-taxable)	2,000.00 per month $\div$ 2	1,000.00
Transportation Allowance	750.00 per cut-off	750.00
Gross Pay		7,105.75
SSS (EE)	Monthly on MSC 26,000 — 2nd cut-off	–1,300.00
PhilHealth (EE)	$26,000 \times 2.5\%$	–650.00
Pag-IBIG (EE) + voluntary	$10,000 \times 2\% + 100.00$	–300.00
Withholding Tax	Monthly taxable ($6,105.75 \times 2 - 2,150$) below 20,833	0.00
Net Pay		4,855.75
Employer share (not deducted)	SSS 2,630.00 (incl. EC 30) + PhilHealth 650.00 + Pag-IBIG 200.00	3,480.00

Appendix C — Rules Applied and Known Limits

C.1 Rules

- A holiday not worked is never an absence; leave is not counted on a holiday.
- Late is counted from the scheduled start once past the shift's grace period; undertime from the time out to the scheduled end.
- A paid day is the scheduled span less its break, at most "Hours per day" (8).
- One punch only = Incomplete: flagged, not deducted. No schedule = flagged, not deducted.
- Rest-day work is paid only through approved overtime filed for that date.
- Today and later dates without punches = Upcoming: assumed worked, not deducted.
- Night differential applies to minutes worked (not the break) in the 22:00–06:00 window.
- A salary change inside a cut-off is prorated by days; allowances are prorated by the days they cover.
- A scheduled deduction is skipped (with a warning) if it would make the net pay negative, and is never taken twice for one cut-off.
- One payroll per cut-off. Draft can be regenerated; Pending cannot; Approved is locked — corrections are retro adjustments on a later cut-off.

C.2 Not yet in this version

- Employee self-service payslips, payroll register / bank file exports, government remittance reports.
- 13th-month pay, tax annualization, final pay.
- Overtime minimum and rounding rules.

Appendix D — Defect Log and Sign-off

D.1 Defect log

#	Step no.	Screen	Data used	What happened (actual)	Severity	Status
1						
2						
3						
4						
5						
6						
7						
8						

Severity: Blocker (cannot continue) · Critical (wrong pay) · High · Medium · Low.

D.2 Sign-off

Role	Name	Signature	Date
Tested by (HR / Payroll)			
Payroll Approver 1			
Payroll Approver 2			
System Administrator			